Cumulus Bank

Personal banking from Cumulus Bank

PERSONAL LOANS

PL-MTG-ARM-2026.04 · Effective April 25, 2026

PRODUCT BROCHURE · PERSONAL LOANS

Cumulus 5/1 ARM Mortgage

An adjustable-rate mortgage that offers a lower fixed introductory APR for the first five years — ideal for buyers who expect to move, refinance, or pay down the balance within that window.

PRODUCT TYPE	5/1 adjustable-rate residential mortgage
INTRO APR (FIRST 5 YEARS)	5.99% APR
INDEX (AFTER YEAR 5)	1-Year Constant Maturity Treasury
MARGIN	+2.75%
ADJUSTMENT CAPS	2% initial · 2% periodic · 5% lifetime
LIFETIME MAX APR	10.99% APR
CONFORMING LIMIT	$806,500
PREPAYMENT PENALTY	None

AT A GLANCE

Overview

A 5/1 Adjustable-Rate Mortgage (ARM) offers a fixed introductory interest rate for the first 60 months, after which the rate adjusts annually for the remaining 25 years of the loan term. Because the intro rate is typically lower than comparable 30-year fixed mortgages, the 5/1 ARM can reduce your monthly payment during the period you are most likely to hold the loan. ARMs are best-suited to buyers who expect to move, refinance, or pay off the loan within the fixed-rate window.

WHY A 5/1 ARM

Key benefits

LOWER INTRO RATE

Lower intro rate

5.99% APR for the first five years — below the current 30-year fixed APR of 6.75%.

STRONG RATE-CAP PROTECTION

Strong rate-cap protection

Caps of 2/2/5 limit how much your rate can move up at the first adjustment, at each annual adjustment, and over the life of the loan.

LIFETIME CEILING OF 10.99%

Lifetime ceiling of 10.99%

The APR can never exceed 10.99% — giving you certainty about the worst-case payment.

NO PREPAYMENT PENALTY

No prepayment penalty

Pay off or refinance at any time with no penalty.

CONFORMING AND JUMBO

Conforming and Jumbo

Conforming loans up to the 2026 FHFA baseline of $806,500; higher-balance and Jumbo loans available.

ABILITY-TO-REPAY UNDERWRITTEN

Ability-to-repay underwritten

Cumulus underwrites your 5/1 ARM on the fully-indexed rate, not the teaser — so you're not surprised at adjustment.

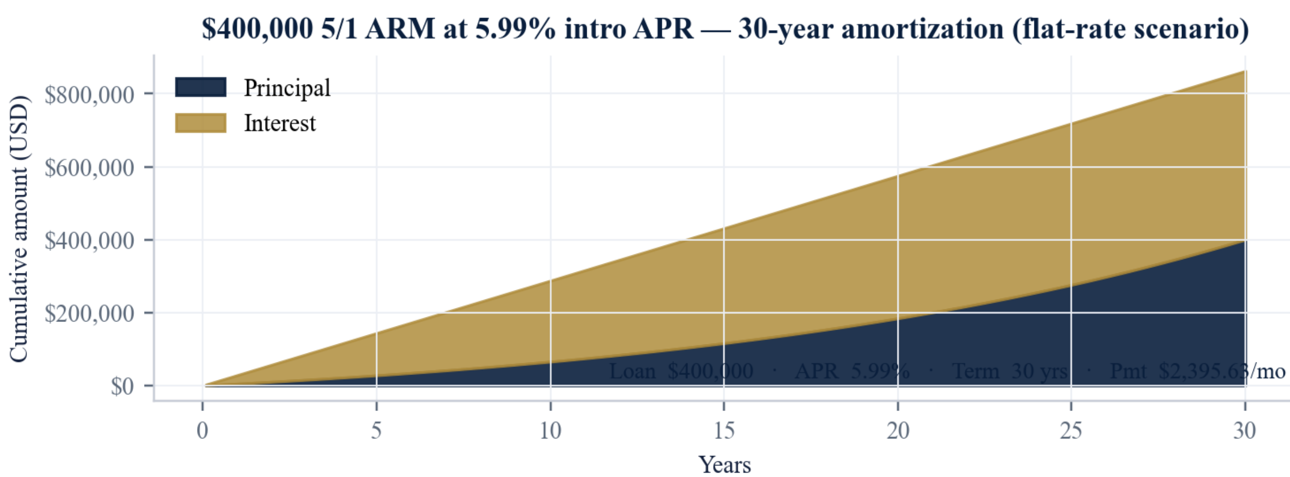
FIXED INTRO · ANNUAL ADJUSTMENT

Rate structure

During the first five years, your rate is fixed at 5.99% APR (for well-qualified borrowers at the current 10-Year Treasury index of 4.10%). Beginning with the 61st month, your rate adjusts once per year based on the 1-Year Constant Maturity Treasury (CMT) index plus a 2.75% margin, subject to rate caps of 2% at the first adjustment, 2% per subsequent annual adjustment, and 5% over the life of the loan. The rate will never exceed 10.99% APR or fall below the margin of 2.75%.

PERIOD	RATE DETERMINED BY	EXAMPLE ASSUMING CMT STAYS FLAT AT 4.10%
Years 1 – 5 (fixed intro)	5.99% APR fixed	5.99% APR
Year 6 (first adjustment)	CMT + 2.75% margin, capped +2% from intro	6.85% APR (from 4.10% CMT + 2.75%)
Year 7 (periodic adjustment)	CMT + 2.75%, capped ±2% from prior year	6.85% APR (flat CMT scenario)
Year 8 onward	CMT + 2.75%, capped ±2% annually	6.85% APR (flat CMT scenario)
Lifetime ceiling	Intro + 5.00% lifetime cap	10.99% APR
Lifetime floor	Margin only	2.75% APR

Illustrative intro-rate principal vs. interest



COMPARING 5/1 ARM TO 30-YEAR FIXED

On a $400,000 loan, the 5/1 ARM intro APR of 5.99% produces a principal-and-interest payment of approximately $2,395/mo — roughly $200/mo less than the 30-Year Fixed at 6.75% APR. Multiplied by 60 months, that is approximately $12,000 of cash-flow savings over the fixed-rate period. If you plan to move or refinance within five years, the ARM can be meaningfully more economical. If you expect to hold the loan much longer, the certainty of the fixed rate may be worth the premium.

WHAT COULD HAPPEN AT YEAR 6

Adjustment scenarios

CMT AT YEAR 6	FULLY INDEXED RATE	RATE AFTER 2% INITIAL CAP	ESTIMATED P&I; ON $400,000
2.50% (falling)	5.25%	5.25% (below intro)	$2,208 / mo
4.10% (flat)	6.85%	6.85%	$2,623 / mo

CMT AT YEAR 6	FULLY INDEXED RATE	RATE AFTER 2% INITIAL CAP	ESTIMATED P&I; ON $400,000
5.50% (moderate rise)	8.25%	7.99% (2% cap)	$2,933 / mo
7.00% (sharp rise)	9.75%	7.99% (2% cap)	$2,933 / mo
10.00% (extreme)	12.75%	7.99% (2% cap)	$2,933 / mo

HOW WE REVIEW YOUR APPLICATION

Eligibility and underwriting

Who qualifies

- — Minimum FICO 680 for conforming; 720+ for best pricing; 720+ minimum for Jumbo.
- — Maximum DTI 43%, computed on the fully indexed (not intro) rate per Regulation Z § 1026.43(c)(5).
- — Down payment as little as 5% on conforming; 10% on Jumbo subject to AUS findings.
- — Reserves: 2 months PITI conforming / 6 months Jumbo.
- — Two years of continuous employment or self-employment.
- — Eligible properties: 1–4 unit primary, 1-unit second home, or investor 1–4 unit.

Documentation required

- — Government-issued photo ID and Social Security Number.
- — Two most recent pay stubs and two years of W-2s or tax returns.
- — Two months of bank statements for all accounts used at close.
- — Purchase contract or most-recent mortgage statement.
- — Homeowners insurance binder effective at closing.
- — Appraisal, title, and flood determination ordered by Cumulus.

STEP BY STEP

How it works

STEP	WHAT HAPPENS	TYPICAL TIMING
1 · Pre-qualification	Soft-pull review; estimate of maximum loan size and payment at both intro and fully indexed rates.	Same day
2 · Application and lock	Full TRID application; Loan Estimate within 3 business days; lock rate at any time.	30 minutes
3 · Underwriting	Cumulus underwrites at the greater of the fully indexed rate or the maximum rate during the first five years (Ability-to-Repay rule).	2–3 weeks
4 · Closing Disclosure	CD issued at least 3 business days before closing.	Day ~27
5 · Close	Sign at title company or attorney. Loan funds and records.	30–40 days from application

STEP	WHAT HAPPENS	TYPICAL TIMING
6 · Year 5 — adjustment notice	Cumulus mails a change-in-rate notice 60–120 days before the first adjustment and 25–120 days before each annual adjustment (Regulation Z).	Prior to each adjustment

YOUR RIGHTS AS A BORROWER

Security and regulatory protections

PROTECTION	COVERAGE
Truth in Lending / RESPA (TRID)	Loan Estimate within 3 business days of application; Closing Disclosure 3 business days before closing.
Ability-to-Repay (Reg Z § 1026.43)	Cumulus underwrites the loan at the higher of the fully indexed rate or the maximum rate within the first 5 years.
Rate-adjustment notices (Reg Z § 1026.20)	First-adjustment notice mailed 60–120 days before change; subsequent annual notices mailed 25–120 days before change.
HELP for ARM borrowers (CFPB Consumer Handbook on Adjustable Rate Mortgages)	Provided to you at application.
Home Mortgage Disclosure Act (HMDA)	Application and origination data reported to CFPB.
Flood Disaster Protection Act	Flood insurance required in FEMA Special Flood Hazard Areas.

COMMON QUESTIONS

Frequently asked questions

Is an ARM right for me?

ARMs work best if (a) you expect to sell or refinance within 5–7 years, (b) you expect significant income growth that would absorb a higher future payment, or (c) you intend to aggressively pay down the principal. If you expect to hold the loan for 10+ years with a stable income, a 30-Year Fixed is typically safer.

How do the rate caps protect me?

The 2/2/5 caps mean your rate cannot increase more than 2% at the first adjustment (year 6), more than 2% at any subsequent annual adjustment, or more than 5% above your intro rate over the life of the loan. Your maximum possible APR is 10.99%.

What is the 1-Year CMT?

The 1-Year Constant Maturity Treasury is an index published by the Federal Reserve based on the yield on 1-year U.S. Treasury securities. It reflects short-term interest rates and is broadly tracked.

Can I refinance an ARM into a fixed-rate loan?

Yes, at any time. Because there is no prepayment penalty, you can refinance from a 5/1 ARM into a 30-Year Fixed (or other product) whenever market conditions or your personal situation favor it.

What if my rate drops at the first adjustment?

The rate caps work both ways. If the fully indexed rate is below the intro rate at year 6, your rate goes down. The 2% initial cap limits the downward movement from the intro rate as well — but in a falling-rate environment that generally works in your favor.

DISCLOSURES & REGULATORY NOTICES

Important disclosures

§ Annual Percentage Rate (APR) shown is representative and based on illustrative borrower credit profiles; the rate offered to an individual applicant may differ materially. All extensions of credit are subject to application, underwriting, and verification of income, employment, assets, and collateral.
§ Disclosures are provided pursuant to the Truth in Lending Act (Regulation Z, 12 C.F.R. Part 1026), the Equal Credit Opportunity Act (Regulation B, 12 C.F.R. Part 1002), and the Real Estate Settlement Procedures Act (Regulation X, 12 C.F.R. Part 1024) where applicable.
§ For real-estate-secured credit, flood-zone determination, title insurance, property appraisal, and hazard insurance are required. Flood insurance is required where the property is located in a Special Flood Hazard Area identified by FEMA.
§ Cumulus Bank, N.A. is an Equal Housing Lender. Residential mortgage products are offered through Cumulus Home Lending, a division of Cumulus Bank, N.A.
§ NMLS Consumer Access: www.nmlsconsumeraccess.org · NMLS ID 2026045.
§ The introductory APR is fixed for 60 months. Beginning with month 61, the APR adjusts annually based on the 1-Year CMT index plus a 2.75% margin, subject to 2% initial, 2% periodic, and 5% lifetime caps. The APR will not exceed 10.99% or fall below the 2.75% margin.
§ Your monthly payment may increase substantially after the intro period. Sample payment figures assume a flat CMT index and a $400,000 loan balance; actual future payments depend on the CMT at each adjustment and remaining principal.
§ The CFPB Consumer Handbook on Adjustable Rate Mortgages is delivered at application.
§ Cumulus Home Lending, a division of Cumulus Bank, N.A. NMLS #2026045. Equal Housing Lender.

GET STARTED

Open an account or speak with a banker

Apply online in a few minutes, request a call back, or visit a Cumulus branch. Our team is available to review your options, confirm eligibility, and help you complete your application.

PHONE	954.417.2880 Client Services, Mon–Fri 7:00 a.m. – 9:00 p.m. ET · Sat 8:00 a.m. – 5:00 p.m. ET
ONLINE	cumulusbank-demo-bb054209d76d.herokuapp.com Apply online, review rates, or schedule an appointment.
BRANCH	Visit any Cumulus branch during posted hours. Locate a branch at cumulusbank-demo-bb054209d76d.herokuapp.com/locations.